

| INCOME STATEMENT |

For the year ended December 31	2007 Kshs'000	2006 Kshs'000
Gross sales	44,109,728	38,052,875
Indirect taxes and duties	(9,351,985)	(7,391,454)
Net sales (Note 3)	34,757,743	30,661,421
Cost of sales (Note 4)	(32,322,298)	(28,408,979)
Gross profit	2,435,445	2,252,442
Other income (Note 5)	75,055	274,098
Depreciation (Note 12)	(274,425)	(235,006)
Amortisation of prepaid operating leases (Note 13)	(6,107)	(19,687)
Amortisation of intangible assets (Note 14)	(26,248)	(5,167)
Other operating expenses (Note 6)	(1,243,279)	(1,200,930)
Finance charges, net (Note 7)	(178,506)	(388,556)
Profit before taxation	781,935	677,194
Taxation (Note 9)	(257,745)	(191,116)
Profit for the year	524,190	486,078
Earnings per share (basic and diluted) (Note 10)	Kshs 2.99	Kshs 2.78

| BALANCE SHEET |

As of December 31	2007 Kshs'000	2006 Kshs'000
ASSETS		
Non-current assets		
Property, plant and equipment (Note 12)	1,992,896	2,029,452
Prepaid operating leases (Note 13)	308,741	325,499
Intangible assets (Note 14)	53,302	71,686
Goodwill (Note 15)	336,604	336,604
Deferred tax asset (Note 16)	46,086	65,876
Total non-current assets	2,737,629	2,829,117
Current assets		
Inventories (Note 17)	3,438,874	6,049,585
Trade and other receivables (Note 18)	5,017,520	4,558,518
Due from related companies (Note 19(i))	472,596	598,746
Taxation recoverable (Note 9 (iii))	12,397	53,101
Bank and cash balances (Note 24(ii))	833,737	1,264,389
Total current assets	9,775,124	12,524,339
TOTAL ASSETS	12,512,753	15,353,456
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital (Note 21(i))	875,324	875,324
Share premium (Note 20)	1,967,520	1,967,520
Revenue reserve	1,908,747	1,822,220
Shareholders' equity	4,751,591	4,665,064
Current liabilities		
Trade and other payables (Note 22)	4,764,986	5,379,352
Due to holding company (Note 25(ii))	59,705	212,794
Due to related companies (Note 19(ii))	147,777	75,500
Unpaid dividends (Note 11)	12,162	6,746
Short term bank borrowings (Note 23)	2,776,532	5,014,000
Total current liabilities	7,761,162	10,688,392
TOTAL EQUITY AND LIABILITIES	12,512,753	15,353,456

The financial statements on pages 24 to 49 were approved by the board of directors on 12 March 2008 and were signed on its behalf by:

Bertrand Fontanges }
Michael Karanja } Directors

| STATEMENT OF CHANGES IN EQUITY |

for the year ended 31 December 2007	Share capital Kshs'000	Share premium Kshs'000	Revenue reserve Kshs'000	Total equity Kshs'000
As of 1 January 2006	875,324	1,967,520	1,773,805	4,616,649
Dividends declared - 2005	-	-	(437,663)	(437,663)
Profit for the year	-	-	486,078	486,078
As of 31 December 2006	875,324	1,967,520	1,822,220	4,665,064
Dividends declared - 2006	-	-	(437,663)	(437,663)
Profit for the year	-	-	524,190	524,190
As of 31 December 2007	875,324	1,967,520	1,908,747	4,751,591

| CASH FLOW STATEMENT |

for the year ended December 31	2007 Kshs'000	2006 Kshs'000
OPERATING ACTIVITIES		
Cash generated from operations (Note 24 (i))	2,937,272	380,438
Interest paid (Note 7)	(287,102)	(415,493)
Interest received (Note 7)	730	1,809
Taxation paid (Note 9(iii))	(197,251)	(178,130)
Net cash from/(used in) operating activities	2,453,649	(211,376)
INVESTING ACTIVITIES		
Purchase of property, plant and equipment (Note 12)	(247,522)	(332,780)
Purchase of leasehold land (Note 13)	(777)	(19,282)
Purchase of intangible assets (Note 14)	(7,355)	(43,431)
Proceeds on disposal of property, plant and equipment	14,968	6,149
Proceeds on disposal of leasehold land	26,100	258,735
Net cash used in investing activities	(214,586)	(130,609)
FINANCING ACTIVITIES		
Dividends paid (Note 11)	(432,247)	(435,386)
Net cash used in financing activities	(432,247)	(435,386)
Net increase/(decrease) in cash and cash equivalents	1,806,816	(777,371)
Cash and cash equivalents as at 1 January	(3,749,611)	(2,972,240)
Cash and cash equivalents as at 31 December (Note 24 (ii))	(1,942,795)	(3,749,611)